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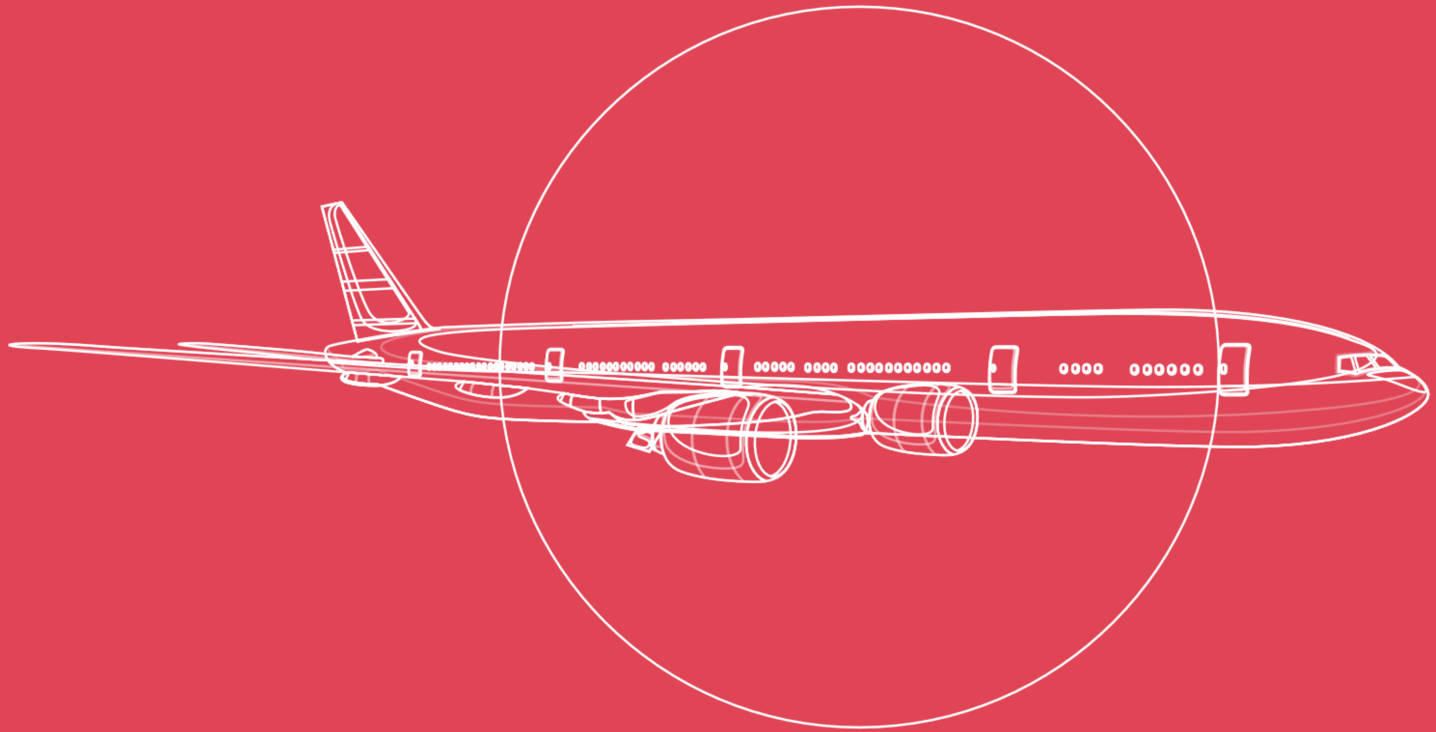

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Week 1: What is Aviation Finance?

The opening session reframed how I think about capital and aircraft. The course introduced aviation finance through a structured lens spanning borrower profile, aircraft type, transaction economics, legal structure, maintenance condition, market cycle, interest rates, and currency. The core question of why airlines do not finance their own aircraft sharpened everything that followed. Airlines are not natural holders of residual value risk, economic usage uncertainty, or specification lock-in, and for a Philippine carrier operating on thin margins, the fragility of outright ownership becomes immediately obvious.

The breakout discussion moved my thinking beyond a binary ownership-versus-lease framing. Full ownership concentrates residual value risk on the airline, while pure leasing can increase long-run cost if rents are priced above what a well-structured balance sheet would absorb. A mixed fleet strategy, with owned aircraft on stable high-utilization routes and leased aircraft absorbing demand variability, emerged as the more defensible approach. My takeaway is that fleet strategy should align asset type with route maturity rather than apply a single rule across the network. That alignment logic is something I already practice in program delivery: matching contract type to project risk profile rather than defaulting to a single procurement model.

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Week 2: The Business of Leasing

This week clarified that lessors are not mere financing intermediaries. They are specialist platforms that absorb the residual value risk airlines want to avoid, using OEM scale and credit quality to reduce acquisition cost. The credit spread differential makes the economics concrete: a BBB- lessor borrows at roughly LIBOR plus 2.75% while a B+ airline pays close to LIBOR plus 5.5% for the same tenor. Lessors also deliberately favor standardized configurations because bespoke specifications shrink the future lessee universe and directly compress remarketing value.

What I am beginning to see is that lease type selection is less a financial decision and more an operational strategy. Operating leases suit routes with seasonal or uncertain demand, exactly the variability found in Philippine leisure corridors like Boracay and Palawan. The question I want to carry forward is how a lessor entering either the Philippines or Saudi Arabia would assess operator credit quality and route stability before determining the appropriate structure and tenor. I believe local market knowledge, i.e. route-level cash flow predictability and the regulatory environment, should carry at least as much weight in that assessment as the credit rating alone.

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Week 3: Operations, Law and Economics of Aviation

This week forced me to revisit a framework I had been carrying uncritically: that leasing is always the conservative choice. The Cape Town Convention, ratified by 72 countries and covering both the Philippines and Saudi Arabia, gives lessors and financiers reliable cross-border registration and fast recovery mechanisms. That legal infrastructure is not background detail; it is a foundational input into deal pricing and risk appetite, and it makes ownership and secured financing materially more viable across both jurisdictions.

The economic case for selective ownership also became clearer. European legacy carriers maintain owned fleets on high-density stable routes and lease for variable capacity. The logic transfers directly: when route demand is predictable and in-house maintenance capability is strong, ownership lowers total cost of capital over a long hold period. The open question for me is how market cycle timing interacts with this decision. If aircraft values are at a cyclical low, ownership captures upside that an operating lease would not allow. I feel that understanding cycle positioning is, at the end of the day, the most consequential variable in the ownership-versus-lease calculus.

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Week 4: Aircraft as an Asset

This week introduced a level of technical precision I had not expected in a finance course: maintenance utility value. An aircraft's worth is a function of how much component life remains before the next overhaul, with engines representing 40 to 50 percent of total value and the airframe the rest. The gap between a zero-hours and a run-out aircraft can reach $8 to $10 million on a single-aisle type. As someone with an engineering background, this clicked immediately; residual value is the sum of measurable maintenance conditions across discrete components, not an abstract forecast.

The AVITAS regression (R-squared of 0.8251 on aircraft age) shows that value deteriorates predictably but with meaningful scatter. Standard configurations with deep operator bases and clean maintenance records hold value better than bespoke types at the same calendar age. AviLease's acquisition of a modern narrowbody portfolio from Standard Chartered in 2023 is a textbook application of this logic: liquid aircraft types with established operator bases reduce remarketing risk and support value retention through the cycle. The discipline I want to build from this session is reading an aircraft as a physical asset with a measurable lifecycle, not only as a cash flow stream.

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Week 5: Financing the Asset

The five debt market channels covered this week each serve a different credit profile and stage of maturity. The concept that landed most clearly was credit enhancement: how financial structuring can transform a sub-investment-grade borrower into an investment-grade transaction. In the Philippine context, this matters because local carriers are effectively priced out of direct capital market access. Structures like EETCs or ECA-backed loans bridge that gap, and the course framing of ECAs as lenders of last resort for weak credits in emerging markets maps directly to the reality I observe in aviation financing across Southeast Asia.

The borrowing maturity curve was equally clarifying. Early-stage lessors operate on secured debt with strict covenants; as the platform scales toward BBB, the strategy shifts to unsecured bonds with portfolio-level LTV tests. Small structural choices compound meaningfully: a 50-basis-point improvement in funding cost on a $500 million facility saves $25 million over the hold period. My takeaway is that financing readiness is a competitive advantage. When a good aircraft comes to market, the operator who can move quickly at low cost has already structured their balance sheet in advance, a principle I recognize from procurement in large government projects in Saudi Arabia.

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Week 6: Structured Finance in Aviation

This week surfaced one of the most analytically interesting topics in the course so far. The BOC Aviation SLVRR 2019-1 structure illustrates the core idea well: by pooling 17 aircraft into an SPV, the deal issued A-rated notes at $443 million, BBB-rated notes at $73 million, BB-rated notes at $32 million, and equity certificates of $120 million, with a liquidity facility covering 18 months of interest payments to prevent distressed remarketing. Financial engineering can improve transaction creditworthiness independently of the underlying borrower's own rating.

The cross-default provision in EETCs struck me as particularly well-designed. It requires continued payment on all aircraft in the structure or the debtor risks losing every aircraft in the deal, which prevents cherry-picking of better collateral. I recognize this interdependency logic from large infrastructure portfolios, where allowing selective default on underperforming assets creates systemic fragility across the wider program. For the Philippines, the path to these structures runs through operational discipline first: stable lease collections and consistent utilization have to come before financing sophistication follows. I see this sequencing as the honest framework for assessing a regional carrier's readiness for structured finance.

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Week 7: Bank and Capital Markets for Aviation

The corporate rating framework this week was clarifying in practical terms. A B-rated lessor recycles bank capacity through ABS under tight covenants, while a BBB-rated platform accesses unsecured investment-grade bonds at materially lower cost and greater flexibility. SMBC Aviation Capital's $8.8 billion in unsecured IG bond issuance in 2026 year-to-date shows what that access looks like at scale. For AviLease, as a newer PIF portfolio company, building toward IG status is both a credit goal and a strategic objective that unlocks the full funding toolkit.

The Korean Air green bond case, a $167 million issuance in 2021 for Boeing 787 purchases with no performance triggers, highlighted the greenwashing risk when sustainability instruments lack measurable KPIs. Over 25 reporting bodies currently request different data from the same aviation issuers, which undermines credibility across the board. My takeaway is that access to capital markets depends not only on financial strength but on the quality of reporting infrastructure. Investing in governance and ESG data early is competitive positioning, not administrative overhead, and I say this as someone who has managed technical reporting for government clients where data quality directly determined contract outcomes.

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Week 8: Leading an Aircraft Lessor

The session reframed what scale looks like in practice. SMBC Aviation Capital operates with over 300 aviation professionals, 490 owned aircraft, 260 managed aircraft, and serves more than 150 airline customers across 50 countries. Trading through the cycle is not a passive position; it requires active portfolio rebalancing, accurate remarketing pricing, and high utilization without compromising placement quality. The IG bond market is SMBC's primary third-party funding channel, and the near-zero ABS activity from 2022 onward shows how exposed lessors become when alternative markets close.

This week prompted genuine reflection on what it takes to build a leasing platform in my context. AviLease carries sovereign wealth backing that compresses early-stage funding risk, but the organizational capability, customer relationships, and funding infrastructure still have to be built with deliberate intent. I believe that is a program management challenge as much as a finance one, and it is the exact intersection I want to inhabit going forward. Building platforms, rather than managing assets alone, is where I see my professional development heading over the next several years.

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Week 9: Financing Aviation Sustainably

This week addressed what I consider one of the more honest problems in aviation finance: the gap between sustainability language and sustainability substance. SAF accounts for considerably less than 1 percent of all aviation fuel, and supply, scalability, and cost barriers cannot be resolved by any single policy instrument. Between 2018 and 2024, sustainability-linked loans in European aviation exceeded EUR 25 billion, yet the sector still operates without standardized KPIs across more than 25 reporting bodies.

During the panel session, I raised a question that had been percolating in my mind since I saw the course outline: whether LCAF (Low Carbon Aviation Fuel) receives equal treatment with SAF within sustainable finance frameworks, i.e. whether ESG bond structures and lender eligibility criteria apply the same standards to both categories despite their different verifiable emissions profiles. The panel (Jan-Hendrik Petersen) confirmed that the two are often conflated in financing term sheets, which allows issuers to count LCAF-fueled operations toward green bond compliance without meeting the higher standard that SAF implies. My key learning is that definitional precision in sustainable finance is a risk management issue, not a reporting formality. For AviLease under Saudi Vision 2030's sustainability mandate, adopting internal KPI frameworks that distinguish between fuel categories before external requirements arrive is, I believe, a genuine first-mover advantage.

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Week 10: M&A in Aviation Finance

The AerCap acquisition of GECAS at $30.2 billion is the defining transaction in modern aviation leasing, and this week gave it the analytical treatment it deserves. The $24 billion bridge, committed by Citi and Goldman Sachs and syndicated to 20 banks, was structured to match the regulatory approval timeline, giving GE certainty on the cash component while AerCap arranged permanent financing at better terms. The permanent structure, approximately $21 billion in unsecured bonds across 11 tranches at an average cost of roughly 2.6 percent and a tenor of just over 7 years, was heavily oversubscribed. Scale and rating quality genuinely unlock better economics.

The PIF context is personally relevant. The potential GECAS buyers slide showed sovereign wealth funds of $744 billion and above actively evaluating the asset, a thesis that AviLease reflects directly. What this transaction teaches me is that when the right platform, cycle timing, and financing capacity converge, the scale of value creation is substantial. Building toward that convergence, whether in the Philippines or Saudi Arabia, starts with getting the fundamentals right at each stage. Going forward, I intend to carry that patience as a professional discipline.